people who enter his agency every day. He can't make a detailed inquiry into the personality and wallet of each individual. Instead, he uses social cues – the way the person is dressed, his or her age, and perhaps even skin and hair color. That is how the dealer immediately distinguishes between the rich lawyer who may well buy an expensive luxury car, and a simple office clerk who has come only to look around and dream.

Of course, differences in natural abilities also play a role in the formation of social distinctions. But such diversities of aptitudes and character are usually mediated through imagined hierarchies. This happens in two important ways. First and foremost, most abilities have to be nurtured and developed. Even if somebody is born with a particular talent, that talent will usually remain latent if it is not fostered, honed and exercised. Not all people get the same chance to cultivate and refine their abilities. Whether or not they have such an opportunity will usually depend on their place within their society's imagined hierarchy. Consider identical twins born in China in 1700 and separated at birth. One brother is raised by a rich merchant family in Beijing, spending his days in school, in the market, or in upper-class social gatherings. The other twin is raised by poor, illiterate peasants in a remote village, spending his days in the muddy rice paddies. Despite having exactly the same genes, when they turn twenty they are unlikely to have identical skills in doing business – or in planting rice.

Second, even if people belonging to different classes develop exactly the same abilities, they are unlikely to enjoy equal success because they will have to play the game by different rules. If the peasant brother somehow developed exactly the same business acumen as his rich merchant twin, they still would not have had the same chance of becoming rich. The economic game was rigged by legal restrictions and unofficial glass ceilings. When the peasant brother made his way to the Beijing market with his torn clothes, rough manners and incomprehensible dialect, he would quickly have discovered that in the business world, manners and connections often speak far louder than genes.

The Vicious Circle

All societies are based on imagined hierarchies, but not necessarily on the same hierarchies. What accounts for the differences? Why did traditional